Company registration number 07940335 (England and Wales)

PORTSMOUTH COMMUNITY FOOTBALL CLUB LIMITED

FINANCIAL STATEMENTS

FOR THE YEAR ENDED

30 JUNE 2024

3 Acorn Business Centre
Northarbour Road
Cosham
Portsmouth
Hampshire
PO6 3TH

PORTSMOUTH COMMUNITY FOOTBALL CLUB LIMITED

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PORTSMOUTH COMMUNITY FOOTBALL CLUB LIMITED

COMPANY INFORMATION

Directors	Mr. M Catlin Mr M Eisner Mr E Eisner Mr B Eisner Mr A Eisner Mr A Redman
Company number	07940335
Registered office	Fratton Park Frogmore Road Portsmouth Hampshire United Kingdom PO4 8RA
Auditor	TC Group 3 Acorn Business Centre Northarbour Road Cosham Portsmouth Hampshire PO6 3TH
Bankers	Barclays Bank Plc PO Box 6 Portsmouth Hampshire PO6 3DH

Football Performance

We introduced a new football operations structure in October 2022 with the appointment of Rich Hughes as Sporting Director and the subsequent appointment of John Mousinho as Head Coach in January 2023.

With it, we adopted a new football recruitment strategy, targeting the permanent acquisition of younger progressive players with the ability to improve the squad and using loan signings as a supplement to squad planning. We had a busy pre-season signing a total of fourteen players with seven out-of-contract players Will Norris, Ryan Schofield, Jack Sparkes, Regan Poole, Connor Shaughnessy, Ben Stevenson, Gavin Whyte and four permanent players signings Anthony Scully, Kusini Yengi, Christian Saydee and Terry Devlin for transfer fees some of which were completed before the previous financial year end of June 2023.

In addition, the club made three loan transfers during the pre-season Transfer Window of Alex Robertson, Abu Kamara and Tino Anjorin. Post the summer Transfer Window, we also signed out of contract Josh Martin to support the squad.

We started August unbeaten, with nine points from the first five games followed by a six-game winning run starting at Barnsley in September which took us to the top of the league. We subsequently fell to second position in late November after our first loss of the season at home to Blackpool which was memorable for the fantastic support from our supporters despite a 0-4 home loss. We managed to get back to the summit by winning at Northampton on 2 December and subsequently never let go of first place for the rest of a memorable season.

This success was achieved despite suffering significant injuries throughout the season to key players such as Regan Poole, Joe Morrell, Terry Devlin and Alex Robertson all to season-ending injuries. After a difficult period of games over the Christmas and New Year period we re-bolstered the squad in the January Transfer Window with the signing of Myles Peart Harris (loan), out-of-contract Matt Macey and permanent signings for transfer fees of Callum Lang, Owen Moxon and Tom McIntyre. Post the January Transfer Window, we also signed out of contract Lee Evans to support the squad.

There were some unforgettable matches at Fratton Park throughout the season with the home games against Bolton Wanderers, Oxford United and Derby County being stand-out atmospheres and we achieved dramatic late wins against Wycombe Wanderers and Carlisle United. We sealed promotion with another memorable late win at home against Barnsley on Tuesday 16 April and we completed the season with a win away at Lincoln City with a total of ninety-seven points.

The next day we celebrated a double title triumph with a special event on Southsea Common which saw fans, owners, club officials and players from both our successful men's and women's teams come together to mark a memorable campaign in which both teams won their respective titles.

We were knocked out of the FA Cup in the first round away at Chesterfield and in the EFL Cup we lost to Peterborough in the second round. We went out of the EFL Trophy at the last thirty-two stage at home to AFC Wimbledon.

An amazing season on the pitch was recognised with a string of awards including John Mousinho voted EFL Manager of the Year and Andrew Cullen winning overall Chief Executive of the Year Award at the Football Business Awards ceremony in London.

Academy

The Academy continued to operate with a staff structure above EPPP Category 3 regulatory requirements which was evident by another strong annual audit performance with the Premier League Audit Company.

The financial running cost of the Academy rose in line with national minimum wage increases and the increased costs for house parents to support 11 of our 18 scholars living away from home. The increased games programme volume required continued pitch rentals and there was further investment in our staff development and hardware in our sport science department.

In July 2024 the Academy had it first player sales in five seasons with two players moving to Premier League Clubs for agreed training compensation. No professional contracts awarded to academy scholars in the 2023-24 season which in part was impacted by our promotion to EFL Championship albeit we remain confident of both the progression of our players across all age groups and the pathway which supports such progression. Our teams have consistently competed against higher category academies and performed well as we stretch the development of the players.

We took one Foundation Phase team to a UK based tournament during the season and this allowed players and staff to gain the experience of knock-out football and for the young players to stay away from home. We reached the final of this tournament which demonstrated our competitiveness against other professional clubs. In the Youth Development Phase, we also took a U13 squad away to an overseas tournament in Madeira which was our first such overseas tournament participation in four years.

We increased our engagement with local grass roots clubs and community via provision of free coaching seminars for local football coaches to promote relationships within our local network. We also worked closely with Sophie's Legacy (our selected academy charity partner for the season) which offers support to families with children in hospital on a long-term basis with staff and U18 players taking part in promotional events including a charity run, hospital visits and pizza delivery to parents and kids on the hospital wards.

Pompey Women

In June 2023, Portsmouth Women were fully integrated into the club, alongside the men's team under the ownership of The Tornante Company via a new separate subsidiary company and allowing semi-professional contracts to be offered to the players for the first time.

One of the overarching goals behind this change was the promotion of football, sport and healthy lifestyles to women and young girls across Portsmouth and a fitting legacy from the 125 Anniversary programme.

In 2023-24 Pompey Women won the National League South and with it promotion to the Women's Championship.

Portsmouth Football Club 125th Anniversary Celebrations

In April 2023 we celebrated our 125th anniversary marking a significant milestone in the club's illustrious history and throughout the year there was a comprehensive program of events to honour the milestone celebrating our local community and inspiring future generations.

A dedicated '125 Committee' was established to spearhead a year-long program of events to commemorate the occasion. The committee was chaired by Colin Farmery and comprised our key club stakeholders being Pompey Supporters' Trust, Pompey History Society, Pompey Women, Tony Goodall Fans' Conference and the University of Portsmouth.

Highlights included the unveiling of a statue honouring club legend Jimmy Dickinson, street art celebrating other Pompey greats, events with cultural significance such as artistic exhibitions and a commemorative friendly against the Royal Artillery.

125 Celebrations *(continued)*
We also launched exclusive merchandise including retro replica kits from 1978, 1987, and 1991, alongside an official club salmon third kit paying homage to the club's original colours.

Community and inclusivity were at the heart of the celebrations, exemplified by the integration of Pompey Women team under Tornante ownership and a special edition pre-match show produced by University of Portsmouth students. The anniversary also incorporated the club's poignant Remembrance Day fixture honouring the armed forces, a commemorative concert supporting Pompey in the Community, a 125 Lottery Scheme, and creative initiatives such as photography exhibitions and literary workshops.

Events in 2024 included the return of the Hall of Fame dinner and tributes to Pompey's historic achievements including the 75th anniversary of the club's first league title success. We also showcased a range of unique Pompey memorabilia in the Portsmouth Museum and a dedicated 125 photography exhibition was produced in partnership with the University of Portsmouth.

Fan Engagement Precis 2023-24
During the 2023-24 season we held 28 separate supporter meetings involving 26 members of staff ranging from the owners to Andrew Cullen (Chief Executive, Club), Tony Brown (Chief Financial Officer), Mark Judges (Director of Sales), John Mousinho (Head Coach), various players, Rich Hughes (Sporting Director) and Johnny Moore (Supporters Liaison Officer). All the meetings were pre-arranged in a diary of events lasting from September to May covering supporter engagement.

The Central Branch Supporters Club had 5 bi-monthly meetings whilst the Chichester Supporters Club held four meetings. Two meetings were held over on the Isle of Wight at Christmas and Spring whilst the Armed Forces held their AGM in the Autumn. Again, there were four bi-monthly meetings in October, November, February and April held with the Tony Goodall Fans Conference, a body made up of representatives of all the supporter organisations and the minutes from these meetings were published on the official club website.

The London and South-West Supporter Clubs had zoom meetings with selected players and management whilst Chief Executive Andrew Cullen, Head Coach John Mousinho and Sporting Director Richard Hughes all met with the Northern Blues at the team hotel before the match at Carlisle in February.

There were also four meetings throughout the season held with the Matchday Experience Group which was created specifically to improve the overall fan matchday experience and provide insight to the stadium development work which were managed by Andrew Cullen (Chief Executive).

The Heritage & Advisory Board made up of three club presidents and three Supporters' Trust board members also had four meetings with club owners and executive staff on major strategic projects, football operations of men's and woman's teams, academy, ticket pricing, stadium development work and environmental policy issues. Finally, the Supporters Trust welcomed Andrew Cullen and John Mousinho to their annual AGM which also included a video update sent from owner Michael Eisner.

TOGETHER POMPEY
In August 2021, the club commenced a process to review its vision and purpose and to identify a set of relevant core values for the organisation. under the title "TOGETHER POMPEY" involving staff from different departments across the club.

Departmental workshops reviewed the club's core strengths, weaknesses and opportunities in early 2022, followed by creative sessions to shape the vision and core values. A cross section of staff from different club functions then came together in May and June 2022 to finalise the strategic vision and values statements.

TOGETHER POMPEY *(continued)*

The cross department working group completed their work in summer 2022 and the vision statements and values were signed off by the Board in autumn 2022.

The Vision, Purpose and Values Statements are all as below:

Vision Statement - *To become a sustainable and inclusive football club playing on a regular basis at the highest level. We will achieve this by everyone within our organisation, working hard together, whatever their role, to deliver the conditions for success and through taking pride in our club, our supporters, our city, and our community.*

Our Purpose - *To be proud custodians of the club and during our tenure to enhance and deliver an inclusive and sustainable environment, where we are all connected both internally and externally, where we seek to improve every day to deliver success and create fantastic memories through everyday excellence.*

Our Values - We are Passionate and Embody the Pompey Spirit! - We give our best to everything we do. We work hard to deliver brilliant service, to create special moments, amazing experiences, and fantastic memories.

We Are Stronger Together - We are dedicated, inclusive and respectful to all our colleagues and partners. Through collaboration, and with a positive attitude we will find solutions to everyday challenges.

We Are Honest - We are honest in the way we behave, feel, and think. We challenge respectfully, we are courageous, open, truthful, and transparent in our communications.

We Are Proud - We take pride in ourselves, our club, our supporters, our city, and our community. We are proud to wear the Pompey badge

The values will define the way club behaves both internally and externally, how it communicates and performs and is central to staff recruitment processes and departmental and personal performance reviews.

Departmental objectives have been coordinated across five strategic goals so that everyone, whatever their role at their club, can play their part in delivering our vision for Portsmouth Football Club.

These goals are:-

1. To create conditions for success on the pitch.
2. To deliver an enjoyable, excellent, and safe experience and service for every supporter and visitor to Fratton Park.
3. To deliver community programs and initiatives that reflect the club's role, status, and responsibilities as a major influencer within the community of Portsmouth and to be a key player in terms of promoting equality, diversity and inclusion and environmental sustainability.
4. To deliver long-term financial sustainability.
5. To create an organisation where our colleagues enjoy coming to work, feel valued and can realise their individual career objectives and personal goals

The club commenced the process of recognising the loyalty of outstanding members of permanent staff by creating a Long Service Awards which were presented to staff with 5,10,15 and over 20 years' service in October 2024.

Fratton Park Stadium Development

When the new season commenced in August 2023, we were on the final leg of the Fratton Park development project. In 2021, we adopted a major stadium works programme to address long-standing health and safety requirements which had been hanging over the club for many decades.

The development work in the Milton End was completed in December 2023 thereby bringing stadium capacity back over 20,000 for the first time in many years. We achieved our first 20,000 plus attendance in thirteen years on 17 February 2024 for the Reading home game and thereafter going on to record four more 20,000-plus attendances in the season.

The stadium project was a big team effort amongst many different stakeholders who all contributed towards ensuring that whilst incorporating the provision of new facilities for our supporters; we retained the traditional close-knit atmosphere and historic heritage of Fratton Park.

Portsmouth City Council had originally ensured that a significant Escrow sum had been separately allocated towards stadium works as part of the financial agreement in which the club emerged from administration back in 2013 and later a multi-year works programme was agreed with the Council which first got under way in 2016/17.

PMC Construction – then as now a main club sponsor –have played a major role in addressing the many quirks of our historic building and have been inspirational in bringing everything together working in conjunction with key contractors Arena Seating, HGP Architects, Hampshire Electrical , Matrix IT and many others. As a club, we will always be indebted to Steve Cripps for his absolute commitment to restoring Fratton Park to a vibrant and much-loved stadium.

Michael Eisner and his family were immediately attracted to the traditions and history of Fratton Park when they first visited the stadium in 2017. Michael played a major role in blending the tradition of the ground into the new construction with his own US architect, Bob Stern. They both played a big role weaving our heritage within the design work of the development work and restoration of the Archibald Leitch truss in the South Stand.

This was not a linear process and involved numerous visits to other stadiums including Fulham FC and the London Stadium to review how the steel framed lower sections (a system used on our lower South Stand) had been incorporated in similar facilities. Another other core requirement from the works project was the provision of additional facilities and concessions which is reflected in the transformation of the Milton End.

We owe a huge thank you to all our various supporter working parties including the Heritage & Advisory Board, the Matchday Experience Working Groups, the North Stand and South Stand Supporter Working Groups and Tony Goodall Fans Conference, who have all greatly contributed to the direction, shape and final design of the works.

We committed to further stadium infrastructure works at the end of the season with the addition of a new South Stand TV gantry which was an extremely challenging engineering task given the lack of space and tightness to the pitch. Other summer project work saw the First Team and Academy move into new office, gym, analysis and medical facilities in the main building at the training ground purchased three years earlier. We also created a new North Stand mezzanine with new bars and toilets, while additional toilets were constructed in the home areas of the Milton End.

We owe a big thank you to our owners Tornante for supporting this stadium development over recent years to put in place long-term foundations to benefit the club for many years moving forward. At the end of the financial year 2024, we had spent £19m on Fratton Park and stadium development works since Tornante acquired the club in 2017.

Pompey Health and Fitness Club & Training Ground
We continued infrastructure work on our Training Ground facilities which saw the integration of first team and academy facilities into the main building and continued work on the PHFC gym facility.

Revenue from Pompey Health Fitness and Club was £1.3 million and an overall net loss of £0.1 million which was impacted by inflation across the cost base including labour and energy costs.

Trading Performance
Our stadium capacity was restricted until completion of the Milton End in December and the increased capacity to 21,000 enabled us to boost our average attendance to 18,952 being an uplift of circa 1,000 from the previous financial year. In the second half of the season, we capped our Season Tickets to 15,000 and introduced a season ticket waiting list at Fratton Park for the first time in many years.

We had record Hospitality kiosk sales from our partnership with Piglets Pantry which was enhanced by the investment in new concession facilities as part of the stadium development. The fan zone behind the Fratton End continued to thrive which created a hub of pre-match atmosphere and events assisted by our Matchday Experience Working Groups and providing children's activities, with music from a DJ and new food and drink facilities. Merchandising sales also reached record sales with strong demand for all three shirts supplied from our partners, Nike Just Sport. A 125 Anniversary merchandising range also proved to be extremely popular amongst supporters of all ages.

We incurred a net profit of £34,000 on the transfer of players during the year. The traditional 'EBITDA' (Earnings before Interest Depreciation & Amortisation) showed a £3.8 million loss. The depreciation and amortisation charges of £1.8 million represent non-cash write-downs, which include depreciation on assets acquired when the club came out of administration, and £913,000 in respect of the write-down of intangible player assets.

This loss above has been affected by a number of non-recurring items such as contingent payments on player transfer agreements and bonus payments to players and staff all triggered by promotion to EFL Championship.

Balance Sheet
The loss in the year reduced the Balance Sheet to a total of £26.5 million net assets with net current liabilities of £3.5 million. It should be noted that included within creditors due less than one year on the balance sheet, is £5.3 million of deferred income in relation to advance season ticket, hospitality and commercial income which will be released to the profit and loss as games are played during the 2024/25 season and hence will not require repayment.

During the year we invested £0.9m on the renovation and improvement works at the Training Ground and gym facilities and a further £4.1 million on Fratton Park development work to put in place foundations for the future long-term benefit of the club.

In terms of cash flows, the club recorded a net cash outflow from operating activities before working capital adjustments of £3.8 million for the year ended 30th June 2024.

We remain debt free.

Ownership
The club drew down further funds from the Owners, Tornante, during the year which was converted into share capital which stood at £37 million in June 2024.

Financial risk management objectives and policies
Principal risks and uncertainties
The principal risk to the business is the performance of the team which may affect revenue obtained from games and sponsorship. The cost base of the business, in common with other football clubs, is relatively fixed in the short-term, hence unfavourable movements in revenue can lead to a significant variation in profits.

The company is aware of this risk and addresses the issue by seeking to strengthen the squad through the development and acquisition of players. It is the aim of the directors to maximise the flexibility of the cost base to deal with unexpected revenue reductions.

Financial risk management
The directors have reviewed the financial risk management objectives and policies of the company. They do not believe there to be significant risks in this area. The company does not enter any hedging instruments as there are not believed to be any material exposures. It does not enter into any financial instruments for speculative purposes.

Appropriate trade terms are negotiated with suppliers and customers. Management review these terms, the relationships with suppliers and customers and manages any exposure on normal trade terms. The company prepares regular forecasts of cash flow and liquidity, with which the directors assess the ongoing cash commitments of the company as part of a strict cash flow management programme.

Section 172 Statement
Section 172 of the Companies Act 2006 requires directors to take into consideration the interests of stakeholders and other matters in their decision-making. The directors continue to have the highest regard to the interest of the Club's employees, supporters, commercial partners and other stakeholders.

Community
The Club and its award-winning charity partner Pompey in the Community remain at the heart of the community, working to engage with a wide range of supporter demographics through various programmes to promote education, healthy living and sporting participation and achievement among vulnerable and disadvantaged people of all ages.

Club employees
Employee wellbeing is of the utmost importance to the club. We send regular emails to all staff with useful guidance regarding their mental and physical wellbeing and reminding everyone about the employee assistance available.

Supporter engagement
The club is committed to a robust consultative process with its supporters, as disclosed in the section entitled 'Fan Engagement Precis 2023-24'.

Business Relationships
The club continues to maintain and develop strong relationships with all our commercial partners via direct engagement for the sustainable growth of the club.

Portsmouth Football Club Carbon Footprint Statement

The club continued its commitment to developing to improving sustainability and environmental awareness throughout the club and including projects designed to reduce carbon footprint emissions across our properties at Fratton Park, Ticket office & Pompey Store, Pompey Health and Fitness Club and the Training Ground.

A club wide working environmentally sustainable Working Group was established in 2023 under the leadership of the CEO continues to meet with all departments at the club represented on this working group, along with our external operating partners from Pompey in the Community, Piglets Pantry, Pompey Health and Fitness Club and Just Sport.

The club has signed up to EFL Green Clubs which will see the organisation's environmental practices formally audited in May 2025 across the following areas:

- Leadership and Management
- Biodiversity
- Energy
- Food and Nutrition
- Pollution
- Procurement
- Transport
- Waste
- Water

The club has appointed staff Champions to each area, with the overall project led by the CEO who will oversee a review and publication of a club environmental policy in 2025.

In addition, and as part of its renewed title partnership agreement with the University of Portsmouth, the club will work in conjunction with the university on a variety of environmental research projects with the overall objective of that work to benefit Portsmouth and local community.

Energy and Carbon Report

The Company has gathered data regarding scope one, two and three carbon emissions (as defined by the GHG Protocol) for the financial year spanning 1 July 2023 to 30 June 2024 from its UK Operations for inclusion in Company Reporting (2020) as defined by the requirements of the Streamlined Energy and Carbon Reporting (SECR) legislation.

The company has consumed more than 40,000 kWh of energy in this reporting period, as a result it does not qualify as a low energy user under these regulations and is required to report on its emissions, energy consumption or energy efficiency activities.

These are set out below:

	2024 kWh	2023 kWh
Energy consumption		
Aggregate of energy consumption in the year	2,032,205	1,937,687
- Gas combustion	1,493,207	1,419,539
- Electricity purchased	180,614	150,750
- Fuel consumed for transport		
	3,706,026	3,507,976

Energy and Carbon Report *(continued)*

Emissions of CO2 equivalent	2024 metric tonnes	2023 metric tonnes
Scope 1 - direct emissions		
- Gas combustion	373.62	308.58
- Fuel consumed for owned transport	-	-
	373.62	308.58
Scope 2 - indirect emissions		
- Electricity purchased	381.66	315.22
Scope 3 - other indirect emissions		
- Fuel consumed for transport not owned by the company	37.78	31.21
Total gross emissions	793.06	655.01
Intensity ratio		
Tonnes CO2e per match	14.96	11.49

Quantification and reporting methodology

We have followed the 2019 HM Government Environmental Reporting Guidelines. We have also used the GHG Reporting Protocol – Corporate Standard and have used the 2020 UK Government's Conversion Factors for Company Reporting.

Intensity measurement

The combined Scope One to Three Carbon Emissions for the period was recorded at 793.07 tCO2e (2023: 655.00 tCO2e). The energy consumed in the period is 3,706,026 kWH (2023: 3,507,976 kWH) with 40% (2023: 40%) relating to electricity, 55% (2023: 55%) from the use of gas for heating and the remainder derived from transport fuel. The Specific Carbon Consumption (SCC) for the period is calculated at 14.96 tonnes CO2e per match (2023: 11.49) of revenue.

Measures taken to improve energy efficiency

Measures and strategies implemented to improve our energy efficiency have been referred to within the Strategic Report.

On behalf of the board

Mr A Redman
Director

19 December 2024

DIRECTORS' REPORT

FOR THE YEAR ENDED 30 JUNE 2024

The directors present their annual report and financial statements for the year ended 30 June 2024.

Principal activities

The principal activity of the company continued to be that of operating a professional football club.

Charitable contributions

The company makes donations to registered charities in the form of autographed kit, equipment and other memorabilia as well as providing substantial support to charities own fundraising activities on match days.

Results and dividends

The results for the year are set out on page 17.

No ordinary dividends were paid. The directors do not recommend payment of a final dividend.

Directors

The directors who held office during the year and up to the date of signature of the financial statements were as follows:

Mr. M Catlin
Mr M Eisner
Mr E Eisner
Mr B Eisner
Mr A Eisner
Mr A Redman

Disabled persons

The company actively encourages applications for employment from disabled people where the requirements of the job can be adequately fulfilled by that person. Where existing employees become disabled, it is the company's policy to make reasonable adjustments wherever practicable in order to provide continuing employment under normal terms and conditions and to provide training and career development and promotion to disabled employees wherever appropriate.

Employee involvement

The company's policy is to consult and discuss with employees, through unions, staff councils and at meetings, matters likely to affect employees' interests.

Information about matters of concern to employees is given through information bulletins and reports which seek to achieve a common awareness on the part of all employees of the financial and economic factors affecting the company's performance.

Auditor

The auditor, TC Group, is deemed to be reappointed under section 487(2) of the Companies Act 2006.

Statement of directors' responsibilities

The directors are responsible for preparing the annual report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Statement of disclosure to auditor

So far as each person who was a director at the date of approving this report is aware, there is no relevant audit information of which the company's auditor is unaware. Additionally, the directors individually have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the company's auditor is aware of that information.

On behalf of the board

Mr A Redman
Director

19 December 2024

INDEPENDENT AUDITOR'S REPORT

TO THE MEMBERS OF PORTSMOUTH COMMUNITY FOOTBALL CLUB LIMITED

Opinion

We have audited the financial statements of Portsmouth Community Football Club Limited (the 'company') for the year ended 30 June 2024 which comprise the statement of comprehensive income, the balance sheet, the statement of changes in equity, the statement of cash flows and notes to the financial statements, including significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including Financial Reporting Standard 102 *The Financial Reporting Standard applicable in the UK and Republic of Ireland* (United Kingdom Generally Accepted Accounting Practice).

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 30 June 2024 and of its loss for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements* section of our report. We are independent of the company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The directors are responsible for the other information. The other information comprises the information included in the Strategic report and Directors report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether there is a material misstatement in the financial statements or a material misstatement of the other information. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of our audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In the light of the knowledge and understanding of the company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report or the directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of directors

As explained more fully in the directors' responsibilities statement, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error. In preparing the financial statements, the directors are responsible for assessing the company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. The extent to which our procedures are capable of detecting irregularities, including fraud, is detailed below.

Extent to which the audit was considered capable of detecting irregularities, including fraud

The objectives of our audit, in respect to fraud, are: to identify and assess the risks of material misstatement of the financial statements due to fraud; to obtain sufficient appropriate audit evidence regarding the assessed risks of material misstatement due to fraud, through designing and implementing appropriate responses; and to respond appropriately to fraud or suspected fraud identified during the audit. However, the primary responsibility for the prevention and detection of fraud rests with both those charged with governance of the entity and its management.

Our approach was as follows:

- We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience, and through discussion with the directors and other management (as required by auditing standards), and discussed with the directors and other management the policies and procedures regarding compliance with laws and regulations;
- We considered the legal and regulatory frameworks directly applicable to the financial statements reporting framework (FRS 102 and the Companies Act 2006), the EFL Regulations and the relevant tax compliance regulations in the UK;
- We considered the nature of the industry, the control environment and business performance, including the key drivers for management's remuneration;
- We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit;
- We considered the procedures and controls that the company has established to address risks identified, or that otherwise prevent, deter and detect fraud; and how senior management monitors those programmes and controls.

Based on this understanding we designed our audit procedures to identify non-compliance with such laws and regulations. Where the risk was considered to be higher, we performed audit procedures to address each identified fraud risk. These procedures included: testing manual journals; reviewing the financial statement disclosures and testing to supporting documentation; performing analytical procedures; and enquiring of management, and were designed to provide reasonable assurance that the financial statements were free from fraud or error.

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations (irregularities) is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it. The risk is also greater regarding irregularities occurring due to fraud rather than error, as fraud involves intentional concealment, forgery, collusion, omission or misrepresentation. We are not responsible for preventing non-compliance and cannot be expected to detect non-compliance with all laws and regulations.

A further description of our responsibilities is available on the Financial Reporting Council's website at: https://www.frc.org.uk/library/standards-codes-policy/audit-assurance-and-ethics/auditors-responsibilities-for-the-audit/. This description forms part of our auditor's report.

Use of our report

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed.

James Blake FCA (Senior Statutory Auditor)
For and on behalf of TC Group

Statutory Auditor

19 December 2024

Office: Portsmouth

PORTSMOUTH COMMUNITY FOOTBALL CLUB LIMITED

STATEMENT OF COMPREHENSIVE INCOME

FOR THE YEAR ENDED 30 JUNE 2024

	Notes	2024 £	2023 £
Turnover	3	13,619,408	12,504,685
Cost of sales		(11,579,556)	(10,513,222)
Gross profit		2,039,852	1,991,463
Administrative expenses		(5,884,405)	(4,490,490)
Profit on disposal of player registrations		34,242	748,135
Other operating income		17,260	61,548
EBITDA	5	(3,793,051)	(1,689,344)
Depreciation and amortisation		(1,815,411)	(1,401,366)
Loss before taxation		(5,608,462)	(3,090,710)
Taxation	8	-	-
Loss for the financial year		(5,608,462)	(3,090,710)
Other comprehensive income		-	-
Total comprehensive income for the year		(5,608,462)	(3,090,710)

The Statement of Comprehensive Income has been prepared on the basis that all operations are continuing operations.

The notes on pages 22 to 39 form part of these financial statements

PORTSMOUTH COMMUNITY FOOTBALL CLUB LIMITED

STATEMENT OF CHANGES IN EQUITY

FOR THE YEAR ENDED 30 JUNE 2024

	Notes	Share capital	Share premium account	Profit and loss reserves	Total
		£	£	£	£
Balance at 1 July 2022		19,005,673	5,667,327	(7,501,225)	17,171,775
Year ended 30 June 2023:					
Loss and total comprehensive income		-	-	(3,090,710)	(3,090,710)
Issue of share capital	**18**	9,000,000	-	-	9,000,000
Balance at 30 June 2023		28,005,673	5,667,327	(10,591,935)	23,081,065
Year ended 30 June 2024:					
Loss and total comprehensive income		-	-	(5,608,462)	(5,608,462)
Issue of share capital	**18**	9,000,000	-	-	9,000,000
Balance at 30 June 2024		37,005,673	5,667,327	(16,200,397)	26,472,603

PORTSMOUTH COMMUNITY FOOTBALL CLUB LIMITED

BALANCE SHEET

AS AT 30 JUNE 2024

	Notes	2024		2023	
		£	£	£	£
Fixed assets					
Intangible assets	**9**		1,518,939		1,443,094
Tangible assets	**10**		30,949,795		26,388,291
			32,468,734		27,831,385
Current assets					
Stocks		20,848		-	
Debtors	**11**	2,266,184		2,074,736	
Cash at bank and in hand		3,122,324		2,817,455	
		5,409,356		4,892,191	
Creditors: amounts falling due within one year	**12**	(8,899,192)		(7,207,551)	
Net current liabilities			(3,489,836)		(2,315,360)
Total assets less current liabilities			28,978,898		25,516,025
Creditors: amounts falling due after more than one year	**13**		(2,506,295)		(2,434,960)
Net assets			26,472,603		23,081,065

BALANCE SHEET (CONTINUED)

AS AT 30 JUNE 2024

	Notes	2024		2023	
		£	£	£	£
Capital and reserves					
Called up share capital	**18**		37,005,673		28,005,673
Share premium account			5,667,327		5,667,327
Profit and loss reserves			(16,200,397)		(10,591,935)
Total equity			26,472,603		23,081,065

The financial statements were approved by the board of directors and authorised for issue on 19 December 2024 and are signed on its behalf by:

Mr A Redman
Director

Company Registration No. 07940335

The notes on pages 22 to 39 form part of these financial statements

PORTSMOUTH COMMUNITY FOOTBALL CLUB LIMITED

STATEMENT OF CASH FLOWS

FOR THE YEAR ENDED 30 JUNE 2024

	Notes	2024 £	2024 £	2023 £	2023 £
Cash flows from operating activities					
Cash absorbed by operations	**24**		(2,649,364)		(1,269,962)
Investing activities					
Purchase of intangible assets		(1,006,792)		(1,522,569)	
Proceeds on disposal of intangibles		419,913		773,119	
Purchase of tangible fixed assets		(5,455,195)		(6,977,447)	
Proceeds on disposal of tangible fixed assets		-		6,933	
Net cash used in investing activities			(6,042,074)		(7,719,964)
Financing activities					
Funding received from parent company		9,000,000		9,000,000	
Payment of finance leases obligations		(3,693)		(3,693)	
Net cash generated from financing activities			8,996,307		8,996,307
Net increase in cash and cash equivalents			304,869		6,381
Cash and cash equivalents at beginning of year			2,817,455		2,811,074
Cash and cash equivalents at end of year			3,122,324		2,817,455

The notes on pages 22 to 39 form part of these financial statements

1 Accounting policies

Company information

Portsmouth Community Football Club Limited is a private company limited by shares incorporated in England and Wales. The registered office is Fratton Park, Frogmore Road, Portsmouth, Hampshire, United Kingdom, PO4 8RA.

1.1 Accounting convention

These financial statements have been prepared in accordance with FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" ("FRS 102") and the requirements of the Companies Act 2006.

The financial statements are prepared in sterling, which is the functional currency of the company. Monetary a mounts in these financial statements are rounded to the nearest £.

The financial statements have been prepared on the historical cost convention. The principal accounting policies adopted are set out below.

1.2 Going concern

As set out in the Directors' Responsibilities Statement on page 11, in preparing these financial statements the directors are required to prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

Portsmouth Community Football Club Limited ("PCFC") currently has no bank lending facilities in place and operates entirely from its bank current account to meet its commitments as they fall due, receiving further funding from the principal shareholder periodically to assist with working capital and continued investment in PCFC's infrastructure. The profitability of PCFC is dependant on a number of factors both in and out of PCFC's control, but the principal factor is the success of the team.
In assessing the appropriateness of the going concern assumption, PCFC have produced cash flow forecasts that extend to the end of the 2025/26 football season, taking into account several potential scenarios to reflect the inherent uncertainty of changes to PCFC's league position. Within the scenarios forecasted, PCFC acknowledges that further financial resources will be required from the owners, and although such funding is not contracted at this time, the directors believe that sufficient funds will be made available as required.

Based on the cash flow forecasts prepared, and considering the reasonably foreseeable scenarios expected in relation to the ongoing football season and expectation for the subsequent season, together with the availability of further funding from the owners as required, the directors are satisfied that PCFC has sufficient resources to continue to meets its obligations as they fall due. Accordingly, the directors have concluded that it is appropriate for the financial statements to be prepared on the going concern basis.

1.3 Turnover

Turnover represents the net amount receivable from football and related commercial activities, excluding transfer fees receivable, and is stated net of VAT. Income from broadcasting, match days and those elements of commercial activities relating to matches is recognised when the related matches are played. Income from advance ticket sales, including season tickets, is deferred accordingly. Other commercial income is recognised on a receivables basis.

1 Accounting policies **(Continued)**

1.4 Intangible fixed assets - player registrations

Player costs
The costs associated with acquiring players' registrations or extending their contracts are capitalised as intangible assets and amortised, in equal installments, over the period of the respective players' contracts. Where a contract is renegotiated prior to the expiry of its original term, the net book value at that time, and any new costs relating to the contract extension, are amortised over the remaining revised contract life.

Under the conditions of certain transfer agreements or contract renegotiations, further fees will be payable in the event of the players concerned making a certain number of first-team appearances or on the occurrence of certain other specified future events. Liabilities in respect of these additional transfer fees are accounted for, as provisions, when it becomes probable that the number of appearances will be achieved or the specified future events will occur.

Provision is made for any impairment and player registrations are written down for impairment when the carrying amount exceeds the amount recoverable through use or sale.

Signing on fees are charged evenly to the profit and loss account over the period of the player's contract

Profit or loss on disposal of player's registrations
Profits or losses arising on the disposal of players' contracts are credited or charged to the profit and loss account in the year in the player is sold. They are calculated as the difference arising between the transfer fees receivable and the net book value of the contracts at the time of this disposal. Any excess of net book value of a player's contract over its net realisable value is taken to the profit and loss account as and when it arises.

Amortisation
Amortisation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Player Registrations	straight line over the period of the contracts
Trademarks	5 years straight line

1.5 Tangible fixed assets
Tangible fixed assets are initially measured at cost and subsequently measured at cost or valuation, net of depreciation and any impairment losses.

Assets under construction are accounted for at cost incurred to the balance sheet date. They are not depreciated until the accounting period in which they are brought into use.

1 Accounting policies **(Continued)**

Depreciation is recognised so as to write off the cost or valuation of assets less their residual values over their useful lives on the following bases:

Fratton Park stadium	50 years straight line
PHFC & Training ground	50 years straight line
Investment property	Not depreciated
Fixtures, fittings, plant & equipment	4-10 years straight line
Motor vehicles	4 years straight line

The gain or loss arising on the disposal of an asset is determined as the difference between the sale proceeds and the carrying value of the asset, and is credited or charged to profit or loss.

Investment property, which is property held to earn rentals and/or for capital appreciation, is initially recognised at cost, which includes the purchase cost and any directly attributable expenditure. Subsequently it is measured at fair value at the reporting end date. Changes in fair value are recognised in profit or loss.

1.6 Impairment of fixed assets

At each reporting period end date, the company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss (if any). Where it is not possible to estimate the recoverable amount of an individual asset, the company estimates the recoverable amount of the cash-generating unit to which the asset belongs.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease.

Recognised impairment losses are reversed if, and only if, the reasons for the impairment loss have ceased to apply. Where an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase.

1.7 Stocks

Stocks are valued at the lower of cost and net realisable value, after making due allowance for obsolete and slow moving items.

1 Accounting policies **(Continued)**

1.8 Cash and cash equivalents

Cash and cash equivalents are basic financial assets and include cash in hand, deposits held at call with banks, other short-term liquid investments with original maturities of three months or less, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities.

1.9 Financial instruments

The company has elected to apply the provisions of Section 11 'Basic Financial Instruments' and Section 12 'Other Financial Instruments Issues' of FRS 102 to all of its financial instruments.

Financial instruments are recognised in the company's balance sheet when the company becomes party to the contractual provisions of the instrument.

Financial assets and liabilities are offset, with the net amounts presented in the financial statements, when there is a legally enforceable right to set off the recognised amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

Basic financial assets

Basic financial assets, which include debtors and cash and bank balances, are initially measured at transaction price including transaction costs and are subsequently carried at amortised cost using the effective interest method unless the arrangement constitutes a financing transaction, where the transaction is measured at the present value of the future receipts discounted at a market rate of interest. Financial assets classified as receivable within one year are not amortised.

Classification of financial liabilities

Financial liabilities and equity instruments are classified according to the substance of the contractual arrangements entered into. An equity instrument is any contract that evidences a residual interest in the assets of the company after deducting all of its liabilities.

Basic financial liabilities

Basic financial liabilities, including creditors, are initially recognised at transaction price unless the arrangement constitutes a financing transaction, where the debt instrument is measured at the present value of the future receipts discounted at a market rate of interest. Financial liabilities classified as payable within one year are not amortised.

Debt instruments are subsequently carried at amortised cost, using the effective interest rate method.

Trade creditors are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Amounts payable are classified as current liabilities if payment is due within one year or less. If not, they are presented as non-current liabilities. Trade creditors are recognised initially at transaction price and subsequently measured at amortised cost using the effective interest method.

1.10 Equity instruments

Equity instruments issued by the company are recorded at the proceeds received, net of direct issue costs. Dividends payable on equity instruments are recognised as liabilities once they are no longer at the discretion of the company.

1 Accounting policies **(Continued)**

1.11 Taxation

The tax expense represents the sum of the tax currently payable and deferred tax.

Current tax

The tax currently payable is based on taxable profit for the year. Taxable profit differs from net profit as reported in the profit and loss account because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The company's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the reporting end date.

Deferred tax

Deferred tax liabilities are generally recognised for all timing differences and deferred tax assets are recognised to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits.

The carrying amount of deferred tax assets is reviewed at each reporting end date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered. Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled or the asset is realised. Deferred tax is charged or credited in the profit and loss account, except when it relates to items charged or credited directly to equity, in which case the deferred tax is also dealt with in equity. Deferred tax assets and liabilities are offset when the company has a legally enforceable right to offset current tax assets and liabilities and the deferred tax assets and liabilities relate to taxes levied by the same tax authority.

1.12 Employee benefits

The costs of short-term employee benefits are recognised as a liability and an expense, unless those costs are required to be recognised as part of the cost of stock or fixed assets.

The cost of any unused holiday entitlement is recognised in the period in which the employee's services are received.

Termination benefits are recognised immediately as an expense when the company is demonstrably committed to terminate the employment of an employee or to provide termination benefits.

1.13 Retirement benefits

The company operates a defined contribution pension scheme for employees. The assets of the scheme are held separately from those of the company. The annual contributions payable are charged to the profit and loss account.

1 Accounting policies **(Continued)**

1.14 Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all the risks and rewards of ownership to the lessees. All other leases are classified as operating leases.

Assets held under finance leases are recognised as assets at the lower of the assets fair value at the date of inception and the present value of the minimum lease payments. The related liability is included in the balance sheet as a finance lease obligation. Lease payments are treated as consisting of capital and interest elements. The interest is charged to profit or loss so as to produce a constant periodic rate of interest on the remaining balance of the liability.

Rentals payable under operating leases, including any lease incentives received, are charged to profit or loss on a straight line basis over the term of the relevant lease except where another more systematic basis is more representative of the time pattern in which economic benefits from the leases asset are consumed.

1.15 Government grants

Government grants are recognised at the fair value of the asset received or receivable when there is reasonable assurance that the grant conditions will be met and the grants will be received.

Deferred government grants in respect of capital expenditure are treated as deferred income and are credited to the profit and loss account over the estimated useful life of the assets to which they relate.

A grant that specifies performance conditions is recognised in income when the performance conditions are met. Where a grant does not specify performance conditions it is recognised in income when the proceeds are received or receivable. A grant received before the recognition criteria are satisfied is recognised as a liability.

1.16 Foreign exchange

Transactions in currencies other than pounds sterling are recorded at the rates of exchange prevailing at the dates of the transactions. At each reporting end date, monetary assets and liabilities that are denominated in foreign currencies are retranslated at the rates prevailing on the reporting end date. Gains and losses arising on translation are included in the profit and loss account for the period.

2 Judgements and key sources of estimation uncertainty

In the application of the company's accounting policies, the directors are required to make judgements, estimates and assumptions about the carrying amount of assets and liabilities that are not readily apparent from other sources. The estimates and associated assumptions are based on historical experience and other factors that are considered to be relevant. Actual results may differ from these estimates.

The estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised in the period in which the estimate is revised where the revision affects only that period, or in the period of the revision and future periods where the revision affects both current and future periods.

2 Judgements and key sources of estimation uncertainty (Continued)

Key sources of estimation uncertainty

The estimates and assumptions which have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities are as follows.

Depreciation of tangible fixed assets

The company establishes a reliable estimate of the useful life of tangible fixed assets from their acquisition. This estimate is based on the expected use of the assets, any legal, regulatory or contractual provisions that can limit useful and historical evidence of the useful like of similar assets.

During the accounting period, the company have re-assessed the useful life of the Fratton Park stadium and the PHFC and training ground, from 25 years to 50 years. The impact of this assessment is a reduction in the depreciation expense recorded within the financial statements amounting to £481,000.

3 Turnover and other revenue

An analysis of the company's turnover is as follows:

	2024	2023
	£	£
Turnover		
Matchday	6,882,746	6,475,407
Broadcasting	2,492,291	2,224,166
Commercial and sponsorship	1,831,036	1,508,595
Other football related income	865,599	1,053,674
Non-football income	1,547,736	1,242,843
	13,619,408	12,504,685

4 Auditor's remuneration

	2024	2023
Fees payable to the company's auditor and associates:	£	£
For audit services		
Audit of the financial statements of the company	25,000	20,000

5 Loss before taxation

Loss for the year is stated after charging/(crediting):	2024 £	2023 £
Exchange gains/(losses)	-	24
Fees payable to the company's auditor for the audit of the company's financial statements	25,000	20,000
Depreciation of owned tangible fixed assets	888,273	813,737
Depreciation of tangible fixed assets held under finance leases	5,419	5,419
(Profit)/loss on disposal of fixed assets	-	(6,933)
Amortisation of intangible assets	921,720	592,352
(Profit)/loss on disposal of intangible fixed assets	(34,242)	(748,135)
Government grants - Income released in respect of deferred captial grants	(17,260)	(61,549)
Operating lease charges	291,063	199,675

6 Employees

The average monthly number of persons (including directors) employed by the company during the year was:

	2024 Number	2023 Number
Players	47	44
Office and football management	83	79
Total	130	123

In addition the company employed 145 (2023 - 170) casual staff on average, for matchdays.

The aggregate remuneration of all employees comprised:

	2024 £	2023 £
Wages and salaries	9,368,102	7,408,471
Social security costs	1,110,065	789,829
Pension costs	93,105	88,201
	10,571,272	8,286,501

The above payroll figures exclude the salary contributions made by the company in respect of players loaned in from other clubs. In 2024 this amounts to £408,000 (2023 - £994,000).

7 Directors' remuneration

	2024	2023
	£	£
Remuneration for qualifying services	50,000	50,000

Directors are also considered to be Key Management Personnel.

8 Taxation

The actual charge for the year can be reconciled to the expected credit for the year based on the profit or loss and the standard rate of tax as follows:

	2024	2023
	£	£
Loss before taxation	(5,608,462)	(3,090,710)
Expected tax charge based on the standard rate of corporation tax in the UK of 25.00% (2023 - 20.50%)	(1,402,116)	(633,596)
Tax effect of expenses that are not deductible in determining taxable profit	109,819	101,589
Increase in unutilised tax losses carried forward	1,292,297	532,007
Tax expense for the year	-	-

Factors that may affect future tax charges

The company has approximately £23,000,000 of tax losses carried forward available for future use. The related deferred tax asset has not been recognised as it does not meet the recognition criteria required by paragraph 29.7 of FRS 102.

9 Intangible fixed assets

	Player Registrations	Trademarks	Total
	£	£	£
Cost			
At 1 July 2023	2,161,438	69,290	2,230,728
Additions	1,028,615	3,075	1,031,690
Disposals	(723,263)	-	(723,263)
At 30 June 2024	2,466,790	72,365	2,539,155
Amortisation and impairment			
At 1 July 2023	728,840	58,794	787,634
Amortisation charged for the year	913,126	8,594	921,720
Disposals	(689,138)	-	(689,138)
At 30 June 2024	952,828	67,388	1,020,216
Carrying amount			
At 30 June 2024	1,513,962	4,977	1,518,939
At 30 June 2023	1,432,598	10,496	1,443,094

10 Tangible fixed assets

	Fratton Park stadium	PHFC & Training ground	Assets under construction	Investment property	Fixtures, fittings, plant & equipment	Motor vehicles	Total
	£	£	£	£	£	£	£
Cost or valuation							
At 1 July 2023	15,927,339	1,351,156	10,180,182	1,351,825	2,714,717	58,519	31,583,738
Additions	3,785,155	117,479	1,261,286	-	291,275	-	5,455,195
Transfers	6,556,907	3,572,769	(10,129,676)	-	-	-	-
At 30 June 2024	26,269,401	5,041,404	1,311,792	1,351,825	3,005,992	58,519	37,038,933
Depreciation and impairment							
At 1 July 2023	3,227,667	115,432	-	-	1,814,058	38,289	5,195,446
Depreciation charged in the year	536,700	99,219	-	-	246,143	11,630	893,692
At 30 June 2024	3,764,367	214,651	-	-	2,060,201	49,919	6,089,138
Carrying amount							
At 30 June 2024	22,505,034	4,826,753	1,311,792	1,351,825	945,791	8,600	30,949,795
At 30 June 2023	12,699,672	1,235,724	10,180,182	1,351,825	900,659	20,230	26,388,291

The directors have recategorised the company's fixed assets to provide more relevant information to users of these finance statements.

10 Tangible fixed assets **(Continued)**

The net carrying value of tangible fixed assets includes the following in respect of assets held under finance leases or hire purchase contracts.

	2024	2023
	£	£
Motor vehicles	8,129	13,548

11 Debtors

	2024	2023
Amounts falling due within one year:	£	£
Trade debtors	291,616	794,799
Other debtors	559,255	408,177
Prepayments and accrued income	1,415,313	871,760
	2,266,184	2,074,736

Trade debtors and accrued income include transfer fees receivable from other football clubs of £75,600 (2023 - £427,146) of which £nil (2023 - £nil) is receivable after more than one year.

12 Creditors: amounts falling due within one year

	Notes	2024	2023
		£	£
Obligations under finance leases	14	11,487	3,693
Trade creditors		1,007,981	915,281
Taxation and social security		950,396	672,324
Deferred income	17	5,302,816	4,038,424
Other creditors		549,928	616,645
Accruals		1,076,584	961,184
		8,899,192	7,207,551

Trade creditors and accruals include transfer fees and other associated costs in relation to the acquisition of players' registrations of £325,000 (2023 - £300,102) of which £nil (2023 - £50,000) is payable after more than one year.

13 Creditors: amounts falling due after more than one year

	Notes	2024 £	2023 £
Obligations under finance leases	**14**	-	11,487
Deferred income	**17**	2,406,213	2,423,473
Other creditors		100,082	-
		2,506,295	2,434,960

Deferred income relates to monies the company received towards specified capital expenditure, which qualified to be accounted for as government grants. The income is released to the profit and loss account evenly over the useful life of the assets acquired, to match the depreciation of those specified assets purchased using the proceeds.

14 Finance lease and hire purchase obligations

	2024 £	2023 £
Future minimum lease payments due under finance leases and hire purchase contracts:		
Within one year	11,669	4,002
In two to five years	-	11,669
	11,669	15,671
Less: future finance charges	(182)	(491)
	11,487	15,180

Obligations under finance leases are secured creditors, secured on the assets to which they relate.

15 Deferred taxation

Deferred tax assets and liabilities are offset where the company has a legally enforceable right to do so. The following is the analysis of the deferred tax balances (before offset) for financial reporting purposes:

Balances:	2024 £	2023 £
Fixed asset timing differences	(1,675,171)	(1,734,505)
Tax losses available	1,675,171	1,734,505
	-	-

15 Deferred taxation **(Continued)**

The deferred tax asset arising on the tax losses available for future use has been capped to offset the deferred tax liability arising on the fixed asset timing differences.

16 Retirement benefit schemes

	2024	2023
Defined contribution schemes	**£**	**£**
Charge to profit or loss in respect of defined contribution schemes	93,105	88,201

The company operates a defined contribution pension scheme for all qualifying employees. The assets of the scheme are held separately from those of the company in an independently administered fund.

17 Deferred income

	2024	2023
	£	**£**
Arising from government grants	2,406,213	2,423,473
Other deferred income	5,302,816	4,038,424
	7,709,029	6,461,897

Deferred income is included in the financial statements as follows:

	2024	2023
	£	**£**
Current liabilities	5,302,816	4,038,424
Non-current liabilities	2,406,213	2,423,473
	7,709,029	6,461,897

18 Share capital

	2024	2023	2024	2023
Ordinary share capital	**Number**	**Number**	**£**	**£**
Issued and fully paid				
Ordinary shares of £1 each	37,005,673	28,005,673	37,005,673	28,005,673
Heritage share of 0.0001p each	1	1	-	-

18 Share capital (Continued)

The Ordinary shares, which are held exclusively by Portsmouth FC LLC, carry full voting rights and participation rights over the equity of the company.

The Heritage share, which is held by Pompey Heritage Share Holdco Limited, does not entitle the holder to voting rights in the company, or to receive dividends from the company.

During the year the principal shareholder subscribed for a further 9,000,000 Ordinary shares of £1 each at par on the 24 June 2024.

19 Operating lease commitments

Lessee

At the reporting end date the company had outstanding commitments for future minimum lease payments under non-cancellable operating leases, which fall due as follows:

	2024	2023
	£	£
Within one year	295,439	213,874
Between two and five years	322,059	489,002
In over five years	1,427,684	1,417,249
	2,045,182	2,120,125

Lessor

The operating leases represent leases of properties to third parties. The primary lease expires in 2025 and rentals are fixed for the duration. There are no options in place for either party to extend the lease terms. Other leases have lapsed into rolling monthly rental agreements, and as such, the disclosed amounts for these leases are limited to one month's receivable rent in line with the notice period stipulated within the agreements.

At the reporting end date the company had contracted with tenants for the following minimum lease payments:

	2024	2023
	£	£
Within one year	39,612	-

20 Financial commitments, guarantees and contingencies

Under the terms of certain contracts for the acquisition of players' registrations, further amounts may become payable by Portsmouth Community Football Club Limited ("PCFC") if certain performance clauses within those contracts are met. In accordance with the accounting policy for Player costs, any additional fees which may become payable under these agreements, will be accounted for in the year that the criteria are met. At the balance sheet date the total amount payable under these performance clauses, should all the criteria be met, was £340,000 (2023 - £820,000), of which since the balance sheet date £nil has crystallised. Once the criteria are met amounts in relation to existing or new registrations will be capitalised and those relating to disposed registrations will be recognised in the profit and loss account.

Player registration acquisition agreements may also contain sell-on clauses that may result in the payment of future amounts on the disposal of a players' registration. These are based on future transfer fees meaning their estimation is not practicable, and hence no provision is included within these financial statements.

Under the terms of certain contracts for the disposal of players' registrations, future amounts may be received by PCFC as a result of performance clauses. As at the balance sheet date, the maximum amount that could be received is £100,000 (2023 - £250,000). Since the reporting date £nil has crystallised and will be recognised in the profit and loss account for the year ended 30 June 2025.

Player registration disposal agreements may also contain sell-on clauses that may result in the receipt of future amounts. The active clauses are based on future transfer fees meaning their estimation is not practicable at the balance sheet date.

21 Capital commitments

Amounts contracted for but not provided in the financial statements:

	2024	2023
	£	£
Acquisition of tangible fixed assets	1,900,000	3,175,000

The amounts disclosed above relate to the completion of the major stadium works development of the Fratton Park stadium commenced in June 2021 and further works on the Pompey Health & Fitness Club training complex.

22 Related party transactions

In accordance with Section 33.1A of FRS 102 the company has taken exemption from disclosing transactions and balances between group undertakings which are wholly owned by members of the group.

During the year the company was provided with £9,000,000 of funds from the Owners, which was converted into share capital, taking Portsmouth FC LLC's total investment in the company to £37,000,000 at 30 June 2024. Subsequently a further £4,000,000 of funds has been provided by the Owners during the period to December 2024, to help fund the football clubs operations and ongoing stadium works.

The company has provided a £327,750 (2023 - £325,000) loan to Pompey In The Community, a registered charity in which the company is closely related with. The loan is interest free and does not require repayment until February 2030.

23 Ultimate controlling party

Portsmouth Community Football Club Ltd (the Club) is wholly-owned by Portsmouth FC LLC of which The Tornante Company LLC holds 100% of the voting rights. The Tornante Company LLC is wholly-owned by Michael Eisner who is the only holder of a 'Significant Interest' in the Club (as defined in the English Football League Regulations).

24 Cash generated from operations

	2024	2023
	£	£
Loss for the year after tax	(5,608,462)	(3,090,710)
Adjustments for:		
Gain on disposal of tangible fixed assets	-	(6,933)
Gain on disposal of intangible assets	(34,242)	(748,135)
Amortisation and impairment of intangible assets	921,720	582,209
Depreciation and impairment of tangible fixed assets	893,692	819,156
Net cash outflow from operating activities before working capital adjustments	(3,827,292)	(2,444,413)
Movements in working capital:		
(Increase) in stocks	(20,848)	-
(Increase) in debtors	(542,994)	(682,740)
Increase in creditors	494,638	917,223
Increase in deferred income	1,247,132	939,968
Cash absorbed by operations	(2,649,364)	(1,269,962)

25 Analysis of changes in net funds

	1 July 2023	Cash flows	30 June 2024
	£	£	£
Cash at bank and in hand	2,817,455	304,869	3,122,324
Obligations under finance leases	(15,180)	3,693	(11,487)
	2,802,275	308,562	3,110,837

This document was delivered using electronic communications and authenticated in accordance with the registrar's rules relating to electronic form, authentication and manner of delivery under section 1072 of the Companies Act 2006.